

How Much Insurance Do I Need?

The amount you need depends on your other sources of income, the number of dependents you have, your debts, and your lifestyle. There's no hard and fast rule of thumb, but the general guideline is between five and ten times your annual salary.

To estimate your need, list your family's annual expenses, such as the mortgage, day-care expenses, debt payments, and educational costs. Multiply the total by the number of years you need the insurance to cover. For example, if you have a child who has four years of high school ahead, you need coverage for at least four years. Add the costs of the funeral and burial of the insured person. If you can afford the premiums, consider adding in the total balance of your mortgage so your family can pay it off after your death, as well as the cost of sending your kids to college.

The cost of pure life insurance is based on actuarial tables that project your life expectancy. If you're considered a high risk—for instance, if you're overweight or a smoker, have a pre-existing health condition, or have a dangerous hobby or occupation (such as flying)—you'll pay higher rates. It's not a good idea to lie about any of these factors on your application. The insurance company could end up refusing to pay your beneficiaries if they find that you didn't tell the truth.



Your employer may provide a basic amount of life insurance at no cost (one or two times your salary) and allow you to purchase additional coverage at group rates, which are often lower than you could find on your own.

Life insurance comes in a wide variety of flavors. In general, you can think of two major categories: term insurance and permanent insurance. Term insurance is plain-vanilla insurance, and it's adequate for most young people. Permanent policies can be further broken down.